

PAPER DONA & PATTAL MANUFACTURING

A Simple, Step-by-Step Business Plan

Costing • Machine Plan • Government Registration • Bank Loan • Break-Even

Detail	Value
Product	Paper dona (bowl) and paper plates — NOT leaf products (Phase 1)
Base of operations	Varanasi (Banaras), Uttar Pradesh
Target buyers	Hotels, restaurants, banquet halls, sweet shops, caterers, street-food vendors
Planned initial investment	Rs 20,00,000 to Rs 30,00,000
Go-to-market strategy	Undercut local market price first to win wholesale buyers in Banaras, then expand to nearby towns, then across the region in phases
Prepared for	Founder — first-time business owner
Prepared on	28 August 2026

READ THIS FIRST: This document turns publicly available market listings, machine listings and government scheme rules into one plain-language action plan. Marketplace prices, machine speeds and paper weights are LISTED figures, not numbers your business has verified yet. Section 14 gives you a short, cheap checklist to verify the most important ones BEFORE you sign any machine purchase or lease. Do that first — it will save you far more money than it costs.

1. Executive Summary — The Idea In Plain Words

What you are building: A small factory in Varanasi that buys paper rolls/sheets, presses them into paper donas (bowls) and paper plates on a machine, and sells them in bulk (wholesale) to hotels, restaurants, sweet shops, banquet halls and caterers — first in Banaras, then in nearby towns, then further away.

Why this can work: Varanasi has huge daily footfall (tourists, pilgrims, weddings, bhandaras) that consumes disposable plates and donas every single day. There is already a live market of buyers and sellers in the city, so you do not need to create demand from nothing — you need to win a share of existing, repeat, B2B demand by being reliable and slightly cheaper at first.

Your stated strategy: Use a machine to manufacture at a lower price than the current Varanasi market, capture wholesale customers first, then expand distribution from Banaras outward in phases. This is a sound, standard "penetration pricing" strategy — but it must be a *time-limited* launch offer, not a permanent policy. Section 12 explains why and gives you a phase-by-phase plan.

Key numbers at a glance (planning estimates — see Section 14 before trusting these for a bank loan)

Item	Planning Estimate
Best starter products (SKUs)	7-inch, 8-inch and 10-inch paper plates (strongest margin evidence)
Machine + dies budget	Rs 6-10 lakh (do NOT spend the full budget on machines)
Raw material (paper) cost	Around Rs 50-56 per kg, delivered in Varanasi
Monthly fixed running cost	Roughly Rs 1.6-2.7 lakh (labour, rent, power, admin)
Break-even production	Roughly 2.0-2.6 lakh pieces/month at base-case cost (see Section 11)
Base-case monthly profit (60% machine usage)	Roughly Rs 60,000-1,50,000/month (varies heavily by product mix)
Best-fit government funding route	Compare PMEGP vs UP MSME Policy 2022 BEFORE buying anything (Section 8)

NOTE: These are feasibility-model numbers built from public listings, not a bank-ready DPR (Detailed Project Report). Treat every number here as a starting estimate to be tested, not a promise.

2. Understanding The Business — Simple Explanations First

2.1 What exactly are you making?

A 'dona' is a small pressed-paper bowl (used for curry, chaat, sweets). A 'pattal' or paper plate is a flat or slightly curved pressed-paper plate (used for meals, snacks, buffets). Both are made the same basic way:

1. Paper comes in as large rolls or sheets, measured by GSM (Grams per Square Metre) — a simple way of saying how thick/heavy the paper is. Higher GSM = thicker, stronger, more expensive paper.
2. A machine cuts a round 'blank' of paper and presses it, using heat and a mould (called a 'die'), into the bowl or plate shape.
3. The finished pieces are counted, packed (usually in bundles of 50 or 100), and sold in bulk.

2.2 Why paper, not leaf, for your first factory?

You have decided to start with paper (not Sal-leaf or Areca-leaf) products. This is a reasonable first choice because:

- Paper machines, paper suppliers and paper buyers are already common and well established in Varanasi — easier to source everything locally.
- Paper products are accepted by a wider range of buyers (leaf products are often positioned as a premium/eco item and need a different, smaller buyer base).
- The compliance and machine-buying process is simpler and better documented for paper than for leaf-pressing units.

2.3 A short glossary — terms you will keep seeing in this document

Term	What it means in plain words
GSM	How heavy/thick the paper is. Higher number = thicker, stronger, costlier paper.
Pieces/kg (yield)	How many finished donas/plates you get out of 1 kg of paper. Lower GSM and smaller size = more pieces per kg.
Die	The metal mould shape fitted on the machine that presses paper into a bowl/plate shape and size.
Utilisation	What % of the machine's maximum possible output you actually use. A machine rated for 2,500 pieces/hour almost never runs at 100% all day — 40-80% is realistic.
Contribution margin	Selling price minus the direct cost (paper + packing + labour) of making one piece. This is the money left over to pay rent, EMI and to become profit.
Break-even	The monthly sales level at which your income exactly covers your costs — below this you lose money, above this you start making profit.
Udyam / MSME	The free government registration that marks you as a small/micro business — needed before you can apply for almost any government subsidy or loan scheme.
Margin money subsidy	A part of your project cost that the government gives for free (as a subsidy), so you don't have to repay it, under schemes like PMEGP.
DSCR	Debt Service Coverage Ratio — a simple test banks use: (money your business has left each month) divided by (your loan instalment). Above 1.25 is generally considered safe.
Working capital	The everyday cash you need to buy raw material, pay staff and wait for customers to pay you back — separate from machine cost.

3. The Varanasi Market — Who You Will Be Competing With

Below is a snapshot of manufacturers, traders and raw-material suppliers already operating in and around Varanasi, built from current online business listings. Treat prices as ASKING prices — real factory-gate/wholesale prices are usually lower after negotiation and depend on quantity.

3.1 Identified competitors and their listed products

Business	Product they sell	Listed price
Mahaakart, Ram Nagar	Multi paper dona, 100 GSM	Rs 0.20/piece (MOQ 10,000)
Mahaakart, Ram Nagar	13-inch plate, 100 GSM	Rs 2.10/piece (MOQ 10,000)
Mahaakart, Ram Nagar	12-inch printed plate, 120 GSM	Rs 0.80/piece
Ganesh Paper Mart	10-inch buffet plate	Rs 2.26/piece
Indrawati Machinery	12-13 inch plate, 350 GSM	Rs 2.40/piece
Maa Bhadrakali Pattal Udyog	13-inch printed plate	Rs 1.92/piece
Yashvi Enterprises	12-inch plate, 100 GSM	Rs 1.95/piece
Aminoj Enterprises	13-inch plate, 300 GSM	Rs 1.75/piece
A.V. Traders	10-inch plate, 300 GSM	Rs 1.70/piece
Satya Prakash Dubey, Shivpur	5-inch dona	Rs 1.00/piece (MOQ 60,000)
Satya Prakash Dubey, Shivpur	7-inch plate	Rs 1.50/piece (MOQ 50,000)
Ravi Industries	6-inch dona	Rs 2.50/piece (MOQ 5,000)
Arvind Traders, Manduadih	8-inch printed plate	Rs 3.00/piece (MOQ 16,000)
Rituraj, Varanasi	10-inch plate	Rs 2.50/piece (MOQ 10,000)

3.2 Raw-material (paper) suppliers already in Varanasi

Supplier	Material	Listed price/kg
Vaishanvi Impex	120 GSM silver, PE-coated	Rs 44/kg
Aditya Techargo	80 GSM silver printed	Rs 55/kg
Mahaakart	100 GSM silver	Rs 56/kg
Raj Industries	Paper dona raw material	Rs 50/kg
Raj Traders	80-200 GSM silver	Rs 53/kg
Suchit Enterprises	100-140 GSM plain silver	Rs 45/kg

3.3 What this tells you

- There is no single 'market price' — price depends heavily on size, GSM, printing and minimum order quantity (MOQ). Never quote or accept a price without confirming the exact GSM and size first.
- Raw paper is available locally in the Rs 44-56/kg range. This is your single biggest cost — more important than machine choice or electricity.
- Your buyer universe (from this research) should be built around, in priority order: wholesalers/distributors, caterers and wedding suppliers, restaurants/dhabas, sweet shops, hotels, and bhandara/temple/community-meal organisers.

NOTE: Call or visit at least 8-10 of the businesses above before finalising your product list and price. A 10-minute phone call today is worth more than another week of internet research.

4. What To Manufacture First — Product Strategy

Not every size is equally profitable. Paper consumption (and therefore cost) rises very fast as the plate gets bigger, but selling prices don't always rise as fast. You must know the grams of paper going into a piece before trusting any selling price.

4.1 Recommended product priority

Priority	SKU	Why
Core (build the business around these)	7-inch, 8-inch, 10-inch plates	Best evidence of healthy gap between cost and local selling price
Secondary (add once core is running)	12-inch plate	Workable margin, but very price-sensitive — needs a confirmed buyer price
Order-based / volume-only	6-inch and 5-inch dona	Very low selling price per piece; only works at very high volume with tight cost control
Do not build the business around this yet	13-inch heavy plate (300+ GSM)	Paper cost per piece is high; margin is thin unless you get a strong factory-gate price

4.2 The single most important product decision

Before you commit capital, buy 100 pieces each of your top 5-6 target sizes from 2-3 different Varanasi suppliers, weigh them, and record: exact diameter, GSM, weight of 100 pieces, price, and quality (rigidity/leakage). This single afternoon of work will improve your numbers more than anything else in this document — see the checklist in Section 14.

5. Machine & Production Plan

5.1 Machines available in Varanasi (current listings)

Supplier	Machine	Price	Output	Power
Sushila Manufacturing	Fully automatic single-die plate machine	Rs 59,000	2,500 plates/hr	1 HP
Sushila Manufacturing	Fully automatic dona machine	Rs 28,000	2,000-4,000 dona/hr	1 HP
Sushila Manufacturing	Double-die dona/plate	Rs 97,000	2,500 pcs/hr	1 kW
Laghu Udyog	Fully automatic double-die plate machine	Rs 60,000	2,500 plates/hr	1 kW
Mahaadevaa Industry	Automatic plate machine, 3-14"	Rs 75,999	5,000 pcs/hr	2 HP
Shri Mangalam, Sigra	Hydraulic double-die, 14"	Rs 2,75,000	2,500-3,000 plates/hr	2 HP
Mahadev Enterprises	Double-die dona machine, 4"	Rs 71,500	5,000 dona/day	5 HP

NOTE: Supplier listings are frequently inconsistent (a machine will show a high hourly rate but a low motor power, or a conflicting daily-vs-hourly figure). Do not trust the advertised number — insist on a live demo run using YOUR target paper and size before paying.

5.2 Recommended machine configuration

- One primary automatic double-die plate/dona machine, capable of 6-14 inch sizes and at least 80-250 GSM. Budget range: roughly Rs 60,000 to Rs 1,75,000 depending on brand and hydraulic vs manual loading.
- A second, dedicated small-dona machine only if your buyer interviews (Section 3) confirm strong demand for 4-6 inch dona at high volume.
- Multiple interchangeable dies for your core sizes (7", 8", 10") so you are not stuck making only one size.
- Do NOT spend your full Rs 20-30 lakh budget on machines. Machinery + dies should be roughly Rs 6-10 lakh, leaving the rest for raw material, working capital and launch costs (see Section 10).

5.3 Realistic output — don't trust the advertised number

For planning, assume your machine only achieves 70% of its rated speed once you account for paper loading, die changes, and minor stoppages.

Rated speed	Realistic speed (70%)	Per 8-hr shift	Per month (26 days)
2,500 pieces/hr	1,750 pieces/hr	14,000 pieces/day	3,64,000 pieces/month
3,000 pieces/hr	2,100 pieces/hr	16,800 pieces/day	4,36,800 pieces/month
5,000 pieces/hr	3,500 pieces/hr	28,000 pieces/day	7,28,000 pieces/month

5.4 Mandatory checklist before you pay any supplier

- Written quotation with GST-inclusive price
- Exact output/hour tested on YOUR target paper and size (ask for a sample run)
- Motor HP/kW and heater power stated separately
- Measured average electricity units (kWh) per hour of actual running
- Warranty period, spare parts price list, and service response time in Varanasi
- Installation, commissioning and operator training included or costed separately

6. Cost To Make 100 Pieces (Unit Economics)

This table shows, for each product, roughly what it costs you to make 100 pieces versus what the current Varanasi market pays for 100 pieces. Assumptions: paper at Rs 52/kg + 5% wastage, 60% machine utilisation, Rs 1.10 lakh/month labour, Rs 30,000/month rent, Rs 15,000/month maintenance, Rs 5/100 packaging.

Product	Cost to make 100 pcs	Local market price/100 pcs	Money left over per 100 pcs
5-inch dona	Rs 66	Rs 100	Rs 34
6-inch dona	Rs 73	Rs 250	Rs 177
7-inch plate	Rs 76	Rs 150	Rs 74
8-inch plate	Rs 87	Rs 300	Rs 213
10-inch plate	Rs 103	Rs 250	Rs 147
12-inch plate	Rs 123	Rs 110	-Rs 13 (LOSS at this price)
13-inch plate	Rs 136	Rs 210	Rs 74

What this means in plain words

- At today's listed prices, 6-inch dona and 8-inch plate look the most attractively priced — but always re-check with your own confirmed weight and buyer price before relying on this.
- The 12-inch plate is a warning sign: at the specific Rs 1.10/piece listing found, a 120 GSM plate does not cover its own cost. This does not mean 12-inch is always bad — it means THIS price and THIS spec don't match. A heavier, sturdier 12-inch plate needs a higher selling price to work.
- Raw material is your biggest and most controllable cost. A slightly cheaper paper source, or a slightly better paper-to-piece yield, moves your profit more than almost anything else.

7. Government Registrations — Step by Step

This section answers the question 'how do I actually register on the government portals?' Do these roughly in the order given — several later registrations need the earlier ones as proof.

7.1 Registration roadmap (do these in this order)

Step	What	Cost	Time
1	Decide business structure (see 7.1a below)	Rs 0-3,000	1-2 days
2	Udyam (MSME) Registration	Free	10-15 minutes
3	PAN of business (if not proprietorship) + current bank account	Rs 0-2,000	3-7 days
4	GST Registration	Free (professional help optional)	3-7 working days
5	FSSAI Registration/License	Rs 100-7,500/year depending on category	7-30 days
6	Trade License / Shop & Establishment (Nagar Nigam)	Varies by area/size	1-3 weeks
7	UP Pollution Control NOC (usually simplified for paper units)	Small fee	2-6 weeks
8	Electricity connection — commercial/industrial (UPPCL)	Deposit + wiring cost	2-4 weeks
9	UP Nivesh Mitra registration (only if applying for state subsidy)	Free to register	Ongoing with your subsidy claim
10	PMEGP application (only if choosing this funding route)	Free to apply	Several weeks — interview + bank sanction

7.1a Choosing your business structure (do this first)

For a first factory of this size, a Proprietorship (run in your own name, or 'XYZ Enterprises') is usually the simplest and cheapest way to start — fastest to set up, no separate company filings. A Partnership or Private Limited Company gives more credibility with banks and lets you bring in a partner/investor later, but adds registration cost and yearly compliance. Many entrepreneurs start as a Proprietorship for Year 1 and convert to a Partnership/Pvt Ltd once volumes justify it. Discuss this 10-minute decision with a local CA before Step 2.

7.2 Udyam Registration (your MSME certificate) — do this FIRST

This is the single most important registration — almost no government subsidy, subsidised loan, or CGTMSE guarantee is possible without it, and it is completely free.

- Go to the official portal: udyamregistration.gov.in — do not use any other paid-looking website.
- Choose 'New Registration' and enter your Aadhaar number and name exactly as on your Aadhaar.
- Verify with the OTP sent to the mobile number linked to your Aadhaar.
- Enter PAN details and select your business type (proprietorship/partnership/company).
- Fill in basic details of your unit (address, activity = manufacturing, investment and turnover estimate).
- Submit. You get an instant, permanent Udyam Registration Number (URN) and certificate — no documents need to be uploaded.

NOTE: The whole process takes 10-15 minutes and is 100% free on the official government portal. Never pay anyone a large fee for 'Udyam registration' — some private sites charge for what is a free government service.

7.3 GST Registration

Legally compulsory once your turnover crosses Rs 40 lakh/year for a goods business. In practice, register from day one anyway, because hotels and restaurants buying in bulk usually want a GST invoice so they can claim input tax credit — without GST registration, larger buyers may simply not buy from you.

10. Go to gst.gov.in and choose 'New Registration'.
11. Enter PAN, mobile number and email; verify with OTP.
12. Fill business details, principal place of business (your factory/office address), and bank account details.
13. Upload documents: PAN card, address proof of the premises (rent agreement/electricity bill), photo, and business constitution proof (partnership deed/incorporation certificate if applicable).
14. An officer may ask for clarification or do a site visit; once approved you receive your GSTIN and certificate.

7.4 FSSAI Registration/License

Because dona/plates touch food directly, they count as food-contact packaging material, so FSSAI registration is required. Which category you need depends on your investment/turnover size:

Category	Roughly applies when	Approx. annual fee
Basic Registration	Very small turnover (under Rs 12 lakh/year)	Rs 100
State License	Turnover Rs 12 lakh - Rs 20 crore/year (most likely category for a Rs 20-30 lakh unit)	Rs 2,000-5,000/year
Central License	Turnover above Rs 20 crore/year, or certain categories	Rs 7,500/year

Apply on the FoSCoS portal (foscoss.fssai.gov.in). Documents typically needed:

- List of machinery/equipment with installed capacity
- Proof of possession of the premises (rent agreement or ownership document)
- A simple layout/blueprint of the factory area
- ID proof (Aadhaar/PAN/Voter ID) and a passport-size photo
- Business constitution document (partnership deed / incorporation certificate, if applicable)

7.5 Trade License / Shop & Establishment Registration

Apply to Varanasi Nagar Nigam (municipal corporation) for a trade license to legally operate your unit at the chosen premises. Requirements and fees vary by ward and unit size — visit the Nagar Nigam office or its online portal with your rent agreement, ID proof and Udyam certificate.

7.6 Pollution Control NOC (UP Pollution Control Board)

Paper plate/dona units are typically a low-pollution ('White' or 'Green' category) activity since there is no chemical effluent — but you must still confirm your category and file for 'consent to establish/operate' or the applicable self-certification with the UP Pollution Control Board before or soon after starting production. Check the current category classification with the board's regional office in Varanasi, as this changes from time to time.

7.7 Bank Account & Electricity Connection

- Open a current account in your business name using the Udyam certificate, PAN, GST certificate and address proof — you will need this for loan disbursement and for paying suppliers/receiving buyer payments.
- Apply for a commercial/industrial power connection from UPPCL for your premises, sized for your machine's electrical load (ask your machine supplier for the exact connected load in kW before applying).

7.8 Optional but useful later: Trademark Registration

Once you decide on a brand name for your dona/plates, you can register it as a trademark at ipindia.gov.in. This is not urgent for Month 1, but worth doing once you start printing your brand on packaging.

8. Government Funding — Which Scheme To Use

There are two main routes for a project of this size. Important: you generally CANNOT use both at full value on the same project — PMEGP rules exclude units that have already availed another government subsidy for establishing the same project. Compare both, then commit to ONE primary route.

8.1 Route A: PMEGP (Prime Minister's Employment Generation Programme)

Feature	Detail
Run by	KVIC (Khadi and Village Industries Commission), Ministry of MSME
Who it's for	New micro-enterprises (not existing/expanding units)
Maximum project cost (manufacturing)	Rs 50 lakh — your Rs 20-30 lakh project fits comfortably
Bank finance	90% for general category, 95% for special category (SC/ST/OBC/women/ex-servicemen/etc.)
Subsidy ('margin money')	15% to 35% of project cost, free — you never repay this portion
Working capital limit	Must not exceed 40% of total project cost
Key restriction	You must NOT have already received a government subsidy for setting up this same project

How to apply for PMEGP — step by step

15. Complete your Udyam Registration first (Section 7.2).
16. Go to pmegp.msme.gov.in and click 'Application For New Unit' under the PMEGP Application section.
17. Fill the online form carefully (project details, cost break-up, category, location) and click 'Save Application Data'.
Note down the Application ID and password shown on screen — you will need these to log back in.
18. Click 'Proceed' and upload the required documents (ID proof, address proof, project report/DPR, caste/category certificate if applicable, educational certificate).
19. Submit the completed application. It goes to the District-level task force / bank for scrutiny, and you may be called for an interview.
20. Once approved, a bank is assigned to sanction your term loan; you must also complete a short EDP (Entrepreneurship Development Programme) training, usually 2-4 weeks, either before or after sanction.
21. After the unit is set up and the loan is disbursed, KVIC releases the margin-money subsidy, which is adjusted against your loan (reducing what you owe).

Helpline: 1800-3000-0034, email: pmegpeportal.kvic@gov.in

8.2 Route B: UP MSME Promotion Policy 2022 (Purvanchal capital subsidy)

Feature	Detail
Capital subsidy (Purvanchal, micro units)	25% of eligible capital investment (Varanasi qualifies as Purvanchal)
Interest subsidy	50% of interest paid, for up to 5 years, capped at Rs 25 lakh per unit
Stamp duty	100% exemption in Purvanchal/Bundelkhand on land/shed purchase or lease
Important timing point	Subsidy is usually reimbursed AFTER you spend the money and prove it with invoices/CA certificate — it does not fund your upfront purchase

How to apply — step by step

22. Complete Udyam Registration first — you cannot get a single rupee of this subsidy without it.
23. Register your business on the UP Nivesh Mitra single-window portal (niveshmitra.up.nic.in).

24. Apply through the portal's 'Incentive Management System' and upload your Project Report (DPR).
25. Spend the approved project money — buy machinery, set up the shed, get connections — keeping every invoice and receipt.
26. Submit investment proof (invoices, CA certificate of investment made) through the portal for verification.
27. Once verified, the capital subsidy is released as a one-time payment, and the interest subsidy is credited periodically against your loan interest over the following years.

8.3 CGTMSE — for when you don't have collateral to offer the bank

CGTMSE (Credit Guarantee Fund Trust for Micro and Small Enterprises) is not a cash subsidy — it is a government guarantee that lets your bank lend to you WITHOUT asking you for collateral/security, because the government guarantees to cover the bank's loss if you default. Guarantee cover currently goes up to Rs 5 crore. Ask your bank to process your loan 'under CGTMSE' if you do not want to pledge property or gold as security.

8.4 Which route should you pick?

Question	If YES lean toward	If NO lean toward
Do you want the fastest route to a subsidy that reduces your loan amount immediately at disbursement?	PMEGP (margin money is adjusted at loan disbursement)	UP MSME (subsidy comes after you spend and prove it)
Are you comfortable completing a KVIC/bank interview and a short EDP training?	PMEGP	-
Do you have enough of your own funds to cover the FULL project cost upfront and wait for reimbursement?	UP MSME Policy (bigger long-term interest subsidy)	PMEGP (less upfront cash needed since margin money reduces the loan itself)

NOTE: Do not apply to both routes for the same project expecting to combine both subsidies at full value — confirm the current 'no double subsidy' rule with your bank/CA before you commit, since scheme rules are revised periodically.

9. Bank Loan — What You Will Actually Need To Do

9.1 The process in plain steps

28. Prepare a simple Project Report (DPR): what you're making, machine quotations, cost of the project, how much you'll sell per month, and how you'll repay the loan. (A CA or a PMEGP/District Industries Centre official can help you prepare this cheaply.)
29. Decide your funding route (PMEGP or UP MSME Policy, Section 8) — this changes which paperwork and which bank branch you approach.
30. Approach a bank that handles PMEGP/MSME loans (most nationalised banks — SBI, PNB, Bank of Baroda, Union Bank — and Regional Rural Banks do this) with your documents.
31. Bank reviews your DPR, checks your ability to repay (see DSCR below), and may ask for security or route the loan under CGTMSE instead.
32. On approval, the bank sanctions the loan; funds are usually released directly to your machine supplier/landlord rather than to you as cash.
33. You start repaying via EMI (equal monthly instalment) after an agreed 'moratorium' period (a few months' grace before repayment starts, common for new manufacturing units).

9.2 Documents to keep ready

- Udyam Registration certificate
- PAN and Aadhaar of the owner(s)
- Project Report / DPR with cost break-up and sales projection
- Machine and equipment quotations (get at least 3 written quotes)
- Proof of premises (rent agreement or ownership papers)
- Passport photos, address proof
- Bank statements of the last 6 months (personal or any existing business account)
- Category certificate (SC/ST/OBC/women, etc.) if applying for a higher subsidy/finance slab

9.3 Understanding DSCR — the bank's main question, explained simply

DSCR just answers: 'After paying all your monthly running costs, is there comfortably enough money left over to pay the loan instalment?' Banks generally like to see this ratio above 1.25, meaning you have 25% more cash than you strictly need to cover the EMI. Example: if your monthly operating surplus (income left after paying rent, wages, electricity, raw material) is Rs 1,25,000 and your loan EMI is Rs 80,000, your DSCR is $1.25/0.80 = \text{about } 1.56$, which is a comfortable, bankable number.

10. The Rs 20-30 Lakh Budget Plan

Do not put all your money into machinery. Below is a realistic split of a Rs 20 lakh, Rs 25 lakh, and Rs 30 lakh budget across everything the business actually needs.

Use of funds	Rs 20 lakh plan	Rs 25 lakh plan	Rs 30 lakh plan
Machinery + dies	Rs 5.0 L	Rs 7.0 L	Rs 9.0 L
Electrical wiring/installation/tooling	Rs 1.0 L	Rs 1.5 L	Rs 2.0 L
Premises setup (deposit, racks, basic fit-out)	Rs 1.5 L	Rs 2.5 L	Rs 3.0 L
Raw material (opening paper stock)	Rs 4.0 L	Rs 5.0 L	Rs 6.0 L
Working capital reserve (wages, rent buffer, receivables)	Rs 5.5 L	Rs 6.0 L	Rs 6.5 L
Sales/samples/branding/first distribution	Rs 1.0 L	Rs 1.3 L	Rs 1.7 L
Registration, professional fees, contingency	Rs 2.0 L	Rs 1.7 L	Rs 1.8 L
Total	Rs 20.0 L	Rs 25.0 L	Rs 30.0 L

NOTE: This is a planning allocation, not a final DPR. Your bank/CA will help finalise exact figures once you have real machine and rent quotations.

11. Monthly Profit & Break-Even Projection

Three scenarios, based on how much of the machine's capacity you actually use each month. A new unit typically starts near the Conservative case and moves toward Base/Aggressive as you build regular B2B buyers.

Scenario	Machine usage	Est. monthly pieces	Est. monthly revenue*	Est. monthly cost*	Est. monthly profit*
Conservative	40%	~2.1 lakh pcs	Rs 4.2 L	Rs 3.6 L	~Rs 0.6 L
Base case	60%	~3.1 lakh pcs	Rs 6.3 L	Rs 4.9 L	~Rs 1.4 L
Aggressive	80%	~4.2 lakh pcs	Rs 8.4 L	Rs 6.1 L	~Rs 2.3 L

*Illustrative, based on a blended average selling price across your 7"/8"/10" core product mix and the per-100-piece costs in Section 6. Your real numbers will shift with your actual product mix, negotiated paper price and confirmed buyer prices.

Why utilisation is the single biggest lever

Rent, most of your labour cost, and machine cost are roughly FIXED whether you run the machine at 30% or 90% of its capacity. So the more pieces you produce and sell each month (without adding more fixed cost), the lower your cost per 100 pieces falls, and the faster your profit grows. This is why Section 12's phase plan is built around steadily raising utilisation through B2B relationships, not around price-cutting alone.

12. Go-To-Market Plan — Capture Banaras First, Then Expand

Your instinct — win Banaras first with a lower price, then expand outward — is the right shape of strategy. The key correction: undercutting the market should be a limited-time LAUNCH OFFER to win specific accounts, not a permanent price position, because your margins (Section 6) are not large enough to survive a long price war.

Phase 1 — Months 1 to 6: Win Varanasi city

- Target 15-25 repeat wholesale accounts: caterers, sweet shops, mid-size restaurants, and 2-3 large event caterers/banquet halls.
- Offer a clear, time-bound launch price — for example, 5-8% below the current local market price — ONLY for the first 2-3 orders from a new buyer, clearly communicated as an introductory offer, not a permanent rate.
- Prioritise reliability and consistent quality over the lowest possible price — in bulk-buying relationships, buyers switch suppliers over broken promises (late delivery, inconsistent quality) far more than over a few paise per piece.
- Target machine utilisation: 40-50% (Conservative scenario in Section 11).

Phase 2 — Months 7 to 12: Purvanchal towns

- Expand via 2-3 sub-distributors into nearby towns — for example Mirzapur, Jaunpur, Ghazipur, Chandauli, Prayagraj — rather than trying to sell directly into every town yourself.
- Move core accounts from launch pricing back toward normal market pricing as your product proves itself; use the freed-up margin to fund distributor commissions and transport.
- Target machine utilisation: 60-70% (Base case). Consider adding a second shift or a second die before adding a second machine.

Phase 3 — Year 2 onward: Region-wide

- Expand distribution across Uttar Pradesh and into neighbouring states through wholesalers, using your Varanasi track record as proof of reliability.
- Evaluate a second machine only once you are consistently running the first at 75%+ utilisation — buying capacity before you have demand is the most common way new units lose money.
- Consider adding higher-value SKUs (printed/branded plates, compartment plates for bulk catering) once your core products are stable and profitable.

13. Risks — What Could Go Wrong

Risk	Why it matters	How to reduce it
Paper price rises	Raw material is your biggest cost — a 10% rise in paper price can wipe out a thin-margin SKU	Lock in a 3-6 month supply rate with 2 suppliers; avoid single-supplier dependence
Machine output is lower than advertised	Directly cuts your monthly production and revenue	Insist on a live demo with your own paper before paying (Section 5.4)
Finished-piece weight is heavier than assumed	Silently increases your real cost per piece	Weigh 100 real samples before finalising any SKU (Section 14)
Subsidy/loan rules change or you double-apply incorrectly	Can delay or disqualify your funding	Confirm current 'no double subsidy' rule with your bank/CA before applying (Section 8)
Working capital runs out (buyers pay late)	Even a profitable business can run out of cash if buyers take 30-45 days to pay	Keep the working-capital reserve in Section 10; start new buyers on shorter credit terms
Permanent underpricing	Long-term below-market pricing erodes thin margins and can make the business unviable	Treat discount pricing as a time-bound launch offer only (Section 12)

14. Before You Spend A Rupee — Validation Checklist

NOTE: This is the cheapest, highest-value step in this entire plan. Complete it before signing any machine purchase or long lease.

A. Physical product test (cost: a few thousand rupees, 1-2 days)

- Buy 100 pieces each of your top 5-6 target sizes from 2-3 different Varanasi suppliers.
- Record for each: exact diameter, GSM, weight of 100 pieces, price paid, MOQ, and whether the price was wholesale/retail.
- Test quality: rigidity, leakage with hot/oily food, and general finish.

B. Supplier quotations (cost: free, 1-2 weeks of calls/visits)

- Get 5 written machine quotations covering price, verified output on your paper, power draw, warranty and service response.
- Get 5 raw-material quotations at 500 kg, 1 tonne and 2 tonne purchase levels.

C. Buyer validation (cost: free, 2-3 weeks)

- Interview at least 10 wholesalers, 10 caterers and 20 restaurants/food-service buyers using the interview questions below.
- Confirm real buying prices, monthly volumes, payment terms (cash vs 7/15/30-day credit) and what would make them switch suppliers.

D. Financing decision (cost: free, 1-2 weeks)

- Compare PMEGP vs UP MSME Policy on your own numbers (Section 8) with your bank or a local CA before applying to either.

A short field-interview script you can use with wholesalers and caterers

- "Which sizes move fastest for you, and what is your monthly volume for each?"
- "What do you currently pay per 100 pieces for your top 2-3 sizes?"
- "What price would make you try a new local supplier for a trial order?"
- "What are your payment terms — cash, or 7/15/30-day credit?"
- "What are your top 3 complaints with your current supplier's product (leakage, thickness, finish, delivery delays)?"
- "If I bring 3 sample variants next week, would you test them and give a trial order?"

15. Your 30-60-90 Day Action Plan

Timeframe	What to do
Days 1-10	Complete Udyam Registration. Buy and weigh 100-piece samples from 3 suppliers (Section 14A). Start interviewing 10+ wholesalers/caterers.
Days 11-20	Collect 5 machine quotations and 5 raw-material quotations. Finalise business structure (proprietorship/partnership). Open current bank account.
Days 21-30	Decide funding route (PMEGP vs UP MSME). Prepare Project Report (DPR) with a CA/DIC official. Shortlist and visit 2-3 premises options.
Days 31-45	Apply for GST and FSSAI registration. Finalise premises lease. Apply on PMEGP portal or UP Nivesh Mitra, as chosen.
Days 46-60	Complete bank loan application and any required EDP training/interview. Apply for electricity connection and Pollution Control NOC.
Days 61-75	On loan sanction, place machine order with your chosen supplier. Begin trade license application. Line up your first 10-15 launch customers.
Days 76-90	Machine installation, commissioning and operator training. Run trial production and quality checks. Start deliveries to your first launch customers at introductory pricing (Section 12).

16. Data Sources & Honesty Note

NOTE: This document mixes VERIFIED public information (government scheme rules, portal steps, tariff structures) with ASSUMPTIONS built for planning purposes (paper wastage %, finished-piece weight, machine utilisation %). Every number that affects a real purchase or loan decision should be re-checked using Section 14 before you commit money.

Key sources referenced

- Udyam Registration portal — udyamregistration.gov.in
- GST Registration portal — gst.gov.in
- FSSAI / FoSCoS portal — foscoss.fssai.gov.in
- PMEGP portal — pmegp.msme.gov.in, KVIC guidelines
- UP Nivesh Mitra single-window portal — niveshmitra.up.nic.in
- UP MSME Promotion Policy 2022 — invest.up.gov.in, msme1connect.up.gov.in
- UPPCL tariff details — uppcl.org
- TradeIndia and IndiaMART Varanasi listings for paper plate/dona manufacturers, traders and raw-material suppliers
- Machine listings — Sushila Manufacturing, Laghu Udyog, Mahaadevaa Industry, Shri Mangalam, Mahadev Enterprises (Varanasi)

Bottom line: This plan gives you a realistic, honest starting map — not a finished DPR. Your fastest and cheapest next step is Section 14: weigh real samples, get real quotations, and talk to real buyers. Everything else in this document gets sharper and more bankable once you do.